

ON TO NEW FRONTIERS

After the successful merger of Fincare SFB, AU Small Finance Bank is working on transitioning to a universal bank to unlock more opportunities

BY SURABHI

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BUILDING THE BANK is my only hobby,” says 56-year-old Sanjay Agarwal, Managing Director and CEO of AU Small Finance Bank (SFB), with a smile.

And it’s no small feat. “Getting a bank (Fincare SFB) merged in our seventh year of journey was not an easy task, but we took that challenge because we felt that there is a lot of opportunity around the southern markets,” says Agarwal.

Post merger, AU SFB had a combined base of over 10 million customers, more than 43,500 employees, a network of 2,350 physical touchpoints across 25 states and Union Territories, with a deposit base of ₹89,854 crore and balance sheet of ₹1.16 crore.

Agarwal says the gold loan franchise and tech capabilities of Fincare SFB were a bonus. “Their tech capability for internal use also surprised us positively,” says Agarwal.

The bank now sees gold loans as one of its growth engines and plans to ensure end-to-end Agentic AI-driven journey for gold loan origination, which will be rolled out in Q1FY27. Its retail secured assets were 68% of the portfolio and grew 21% year-on-year to ₹87,773 crore in Q3 FY26. The gold loan business grew 52% year-on-year to ₹3,000 crore during the period. The merger also gave AU SFB crucial experience and lessons as the team worked on various fronts, including meeting regulatory and capital market guidelines, people integration and transformation of leadership, he notes.

Analysts point out that the merger had its own set of challenges. Anand Dama, Head of BFSI Research at Emkay Global Financial Services, says the merger has been relatively painful for AU SFB, as post the merger, the

Onwards and Upwards:
Sanjay Agarwal, Managing Director & CEO, AU Small Finance Bank